

Supply Capacity Analysis

Once an understanding of the industry demand is established, we must focus on understanding of the industry supply to determine profitability.

Steps for analysing the industry's supply:

- 1. Analyze the industry's current supply.** Entrepreneurs must collect information about the current supply capacity in the industry in volume terms and the technological status of this capacity.
- 2. Research the capacity that will come shortly.** This concerns the ongoing and planned capital expenditure by the players in the industry.

Industries with few large firms

Data can be collected by adding the supply and capital expenditure plans of the firms.

Industries with fragmented nature

The availability of information remains a challenge.

- Entrepreneurs must rely on information available in journals, newspapers, magazines, industry reports, and government statistics.
- If supply capacity cannot be ascertained, analysts can get a sense of the demand-supply scenario using the capacity utilization across the smaller firms in the fragmented industry.
- Capital expenditure plans can be judged by the sales and order book of capital goods companies that provide the assets for the expansion of the industry.

- 3. Another important factor to analyze is the lead time for new capacity to come up.**



- The industry's profitability moves in a cycle, similar to the commodity cycle, as shown earlier, time taken for the industry to switch between phases depends on the time taken for capacity to enter and exit the industry.